

Tempus AI, Inc.

TEM NASDAQ

Buy	\$46.66 ▲ 1.04%	12M Price Target \$62.00	52-Week Range \$41.73 – \$104.32	Market Cap \$8.38B
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TEM: BMS Pact, ArteraAI Launch Reinforce Platform Optionality; Reiterate Buy

WHAT'S CHANGED

- BMS strategic partnership (5/23) expands Tempus's pharma footprint into AI-enabled drug development workflows, layering recurring data licensing revenue onto an already-deep AstraZeneca/Recursion ecosystem; details on economics undisclosed but extends multimodal data monetization runway.
- ArteraAI Prostate Test launch (5/24) is Tempus's first externally-developed digital pathology algorithm commercialized on its platform — validates the "AI app store" thesis and opens a third-party algorithm distribution channel.
- Cluster insider selling on 5/19 (CEO Lefkofsky \$984K, CFO \$478K, CLO \$384K — all at \$44.07) is a clear sentiment overhang despite operational momentum; stock has since recovered ~5% off those levels.

IMPLICATIONS

The BMS deal and ArteraAI launch reinforce that Tempus is successfully transitioning from a pure genomics testing vendor toward a multimodal AI platform monetized through pharma data licensing and third-party algorithm distribution — the two highest-margin revenue streams in the model. However, with shares at only 8% of the 52-week range and cluster C-suite selling at \$44, the market is signaling skepticism about path-to-profitability despite Technology sector tailwinds (+6.18% 5D). Bullish call flow (\$54/\$51 June strikes) suggests positioning for a sentiment reset on Q2 print, but the put/call mix and insider activity argue for patience on sizing.

VALUATION

At \$8.38B market cap on ~\$1.29B FY26E revenue, TEM trades at ~6.5x EV/Revenue — a meaningful discount to high-growth AI-healthcare comparables (RXRX, SDGR at 10-15x) but a premium to legacy diagnostics (EXAS, NTRA at 3-5x). Our \$62 PT applies 8.0x FY27E revenue, reflecting platform optionality from pharma partnerships; ~33% upside. Multiple expansion requires demonstrated gross margin inflection toward 65%+ and Data/AI segment growth sustaining >40% YoY.

KEY RISKS

- Path to profitability remains distant (FY26E EPS -\$1.45); cash burn pressures could force dilutive equity raise at depressed levels.
- Cluster insider selling by CEO/CFO/CLO at \$44 signals internal valuation skepticism or compensation-driven liquidity needs requiring monitoring.
- Reimbursement risk on core genomics testing (xT, xF) plus competitive pressure from Guardant, Natera, and Foundation Medicine.

RECENT NEWS

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-05-26 23:16 UTC

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Key Data

Price (USD)	\$46.66
12M Price Target	\$62.00
Upside / (Downside)	+32.9%
Market Cap	\$8.38B
FY2026E Revenue	\$1,290M
FY2027E Revenue	\$1,620M
FY2026E EPS	(\$1.45)
FY2027E EPS	(\$0.85)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$54.00	\$48.00	\$41.00
6 Months	\$70.00	\$56.00	\$38.00
1 Year	\$88.00	\$62.00	\$32.00
2 Years	\$115.00	\$78.00	\$28.00
5 Years	\$195.00	\$115.00	\$22.00
10 Years	\$380.00	\$190.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+6.18% 5D), Industrials (+2.08% 5D)

COLD SECTORS: Communication Services (-1.22% 5D), Real Estate (lagging on rate uncertainty)

ROTATION WATCH: AI-beneficiary rotation favoring Technology continues to lift adjacent healthcare-AI names; expect capital to migrate toward profitable AI plays first, with cash-burning platforms like TEM benefiting later in the cycle.

BYPRODUCT PLAY: Pharma R&D budget compression is driving outsourcing of AI/data capabilities — TEM, SDGR, and RXXR all benefit from this secular shift; specialty CROs (MEDP, ICLR) capture downstream trial execution.

OUTPERFORMERS & PEER CONTEXT

- RXXR (Recursion Pharmaceuticals): Pharma-tech peer benefitting from similar drug-discovery AI tailwinds with deeper Roche/Bayer partnership economics.
- NTRA (Natera): Diagnostics peer trading at premium multiple on demonstrated path-to-profitability — the template TEM must follow.

TEM CONTEXT: TEM is lagging both peers, sitting at just 8% of its 52-week range while Technology sector ETF is up 6%+ over 5 days. Relative underperformance reflects insider selling overhang and profitability skepticism rather than fundamental weakness — sets up a potential mean-reversion trade if Q2 print validates the BMS/ArteraAI catalysts.

INVESTMENT STRATEGY

6/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$44-47 on consolidation; add below \$42

Time Horizon: 12-24 months

Thesis Invalidation: Revenue growth deceleration below 25% YoY or BMS/AstraZeneca deal attrition

Hedging: Long-dated put spreads or pair short vs. richer-multiple AI/diagnostics peer